SUMMARY

Vouching of Cash Payments

- Cash Payments should be vouched to ensure that the payments made were exclusively and wholly for the business and are a proper business charge.

Auditors Duty

- Vouching of cash payments should be made to determine that the payments are supported by the required documentary evidence. The name of client, date in the payee's acknowledgement, authorization by competent person, revenue stamp should be verified with respect to cash payments.

Cash Paid to Creditors

- The Cash Paid to Creditors should be vouched using statement of accounts, receipts issued by creditors, invoices and goods inward book.

Wages

- Wages should be vouched using wage book, wages sheets, wage records, job cards, etc.

Capital Expenditure

- Capital Expenditure should be vouched by verifying invoice, agreements, letter of contract, receipts, etc.

Bills Payable

- Bills Payable should be verified referring bills payable register, payee's acknowledgement and pass book.
- Bills Receivable discounted and dishonoured should be vouched by verifying pass book, dishonoured bill, noting charges and discount account.

Directors' Fees

- Directors' Fees should be verified referring Articles of Association, receipts, minutes book, special resolution and attendance register.

KEY TERMS

- **Bills Payable:** Bills accepted for goods or services received on credit.
- **Bills Receivable:** Receivable against sale of goods/service provided to the customer.
- **Capital Expenditure:** Money spent by a business or organization on acquiring or maintaining fixed assets, such as land, buildings and equipment.
- **Cash Payments:** Payments made in cash for various business transactions.

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